

one of the most important distinctions in options algo trading:

We are currently calculating RSI on:

#### OPTION PREMIUM PRICE

Example:

- NIFTY 23900 CE premium = ₹142 → ₹148 → ₹155
- RSI calculated on this premium movement

NOT on:

#### NIFTY INDEX PRICE

Example:

- NIFTY spot = 23905 → 23920 → 23940

These are two very different things.

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**Which is correct?**

**Short Answer**

**For OPTION BUYING STRATEGIES**

Watching the OPTION PREMIUM RSI is usually MORE useful.

**For MARKET DIRECTION CONFIRMATION**

Watching NIFTY INDEX movement is MORE reliable.

Production systems usually use BOTH.

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**Why option RSI behaves differently**

A NIFTY option premium is affected by:

1. Underlying index movement
2. IV expansion/contraction
3. Delta
4. Gamma
5. Theta decay
6. OI shifts
7. Liquidity spikes

So:

NIFTY may move only +20 points,  
but your option premium may jump +18%.

That creates a strong RSI spike on the option itself.

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### Example

Suppose:

- NIFTY = 23905
- You track 23900 CE

Now:

| Event              | NIFTY Move | 23900 CE Move |
|--------------------|------------|---------------|
| Small bullish move | +15 pts    | +10% premium  |
| IV expansion       | 0 pts      | +5% premium   |
| Short covering     | +8 pts     | +12% premium  |

Your option RSI may hit 85 even though NIFTY itself is not strongly trending.

This is NORMAL.

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### The danger of using ONLY option RSI

This is where many retail option algos fail.

Because option premiums are extremely noisy.

You may get:

- fake spikes
- IV-based moves
- low liquidity candles
- gamma bursts
- expiry distortions

Especially on:

- 1 min timeframe

- OTM options
- weekly expiry
- low premium contracts

RSI on option premium can become unstable.

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### **The danger of using ONLY NIFTY RSI**

Opposite problem:

NIFTY may move correctly,  
but your chosen strike may barely move.

Example:

- NIFTY +25 pts
- Far OTM CE barely reacts

Your entry becomes late or weak.

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### **Production-grade solution**

Best practice is:

**Use NIFTY for DIRECTION**

AND

**Use OPTION PREMIUM for EXECUTION**

This is how professional systems are usually structured.

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### **Recommended architecture**

#### **Layer 1 — Market Bias Engine**

Track:

- NIFTY spot trend
- EMA
- Supertrend
- RSI

- VWAP
- PCR
- ATR

This decides:

SHOULD I EVEN BUY CE/PE?

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## Layer 2 — Option Selection Engine

Then evaluate:

- which strike
  - liquidity
  - spread
  - delta
  - IV
  - premium momentum
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## Layer 3 — Execution Trigger

Now use:

- option premium RSI
- option premium breakout
- volume spike
- bid/ask pressure

to trigger actual entry.

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## What I would NOT do

I would NOT:

✗ Buy CE purely because option RSI crossed 85

Why?

Because:

- option can spike from IV
- liquidity manipulation
- sudden gamma squeeze
- market maker adjustment

without real directional conviction.

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### **What I WOULD do**

Example production logic:

IF:

NIFTY RSI > 60

AND

NIFTY above EMA20

AND

NIFTY above VWAP

AND

ATR expansion active

AND

CE premium RSI > 70

AND

CE volume spike > 2x

THEN:

BUY CE

This is much more robust.

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### **Most important insight**

**NIFTY tells you:**

"Where market wants to go"

**OPTION PREMIUM tells you:**

"How aggressively traders are pricing that move"

You need BOTH.

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## My recommendation for your algo

Since you are building a serious production architecture:

### Keep:

✓ Option RSI

BUT ALSO ADD:

✓ NIFTY spot filters

This will massively reduce:

- false entries
- IV traps
- expiry noise
- fake momentum

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## Final practical advice

For 1-min option scalping:

### Use NIFTY as PRIMARY signal

Use option premium as SECONDARY confirmation.

Meaning:

| Signal              | Priority       |
|---------------------|----------------|
| NIFTY trend         | High           |
| NIFTY RSI           | High           |
| NIFTY VWAP          | High           |
| Option RSI          | Medium         |
| Option Volume Spike | Medium         |
| IV spike            | Medium         |
| Premium breakout    | Execution-only |

That structure is far more stable for real money deployment.

